

A word of caution

It is important to point out that Bitcoins and the field of virtual currency in India holds a very alluring market for technologists, entrepreneurs and even fraudsters. The potential of cryptocurrencies presents many attractions but is still finding footing in India. The companies involved in the conference present a very optimistic view of the future and need to ignite interest from general users for any positive results - financial or otherwise.

Sponsors such as ButterflyLabs are deeply invested in selling high end technologies such as processor cards that are specifically made for Bitcoin mining. Others like BuySellBitco.in are major players in the online Bitcoin trading platforms that are business' dependent on trading through their portal. The product offered by BTC Robot assures an unrealistic return on investment in exchange for a down payment for their software. The software does automated trading of Bitcoins online and is built to capitalise on speculative fluctuations of the currency. Interestingly BTC Robot - advocates a highly misinformed and extreme position on virtual currencies as a whole and considers Bitcoin a fertile market to make money rather than promote it as a viable currency.

One general reminder for all those who are interested in participating in the world of Bitcoin, whether for profit or as a believer in the new digital currency, is that the currency is in a very nascent stage of development in India. It is bound to attract all sorts of people who may or may not be genuine in their intentions. Even at conferences such as the one in Bangalore, most participants are interested in figuring out how best to leverage the interest in Bitcoin towards profitable means for themselves - whether it is by selling software, hardware or advice on how to use Bitcoins. There is nothing wrong with their commercial interests but users need to pay give special scrutiny to claims and make careful judgements about who they trust with their money.

Government Regulation

The Indian government has expressed great caution against the blind adoption of Bitcoin by Indians. As a result, it issued a circular that outlined its views on the phenomenon. Its important to note at this point that Bitcoin as a phenomenon is intended to thwart central control but this doesn't ensure that governments can't influence key aspects of its real world infrastructure such as taxation of earnings and regulation of exchanges.

In its circular, dated 24 December 2013, the RBI made a statement that it would not regulate any virtual currency which includes Bitcoin. The cir-